FIN42350
Group Assignment: Portfolio Design

You need to form a group of 4-5 people.

Your task is to construct a portfolio for a client who has €1 million available for investment.

Step 1: Construct a client profile

What is the investment horizon?
What is the primary objective? Growth or income? Sector focused? Country focused?
What is the risk tolerance? Low, medium, high
Any other constraints? High ESG assets, for example.

Step 2: Construct a portfolio that is appropriate for the client. You need to identify what investments will be included in the portfolio and why. You need to provide the expected return and risk of each investment as well as the overall portfolio.

You can choose from any asset class, but you should have at least three asset classes in the portfolio. [Equities, Government bonds, corporate bonds, cash/money-market investments etc]. Returns should be evaluated in Euro.

You need to get historical data 3-5 years. Monthly or weekly data will suffice. Use this data to estimate returns and risk of each asset. Explain your choices of expected return (historical average, average annual return or holding period return, CAPM expected return, analyst forecast etc) and risk (variance, beta, Sharpe ratio etc) measures.

Use this information to offer alternative portfolios:

1. Initial portfolio based on your judgement
2. Optimised portfolio. Construct a portfolio using your chosen assets to either maximize expected return (subject to a variance constraint) or minimize portfolio risk subject to a minimum return constraint)

Write a return detailing the investment objective, choice of asset classes and assets, and risk and return profile of each asset. Then describe the portfolio construction and optimisation and compare these different portfolios in terms of their risk and return profiles. Use concepts developed in the module to explain your choices of assets and methods. Expected length is around 3,000 words but feel free to provide additional details in appendices.

You need to submit the report by **5 pm on November 13th** in Brightspace. The submission will by the end of September and you are free to submit at any time before or on the due date. You also need to email me your Excel file or data/program files if using an alternative software.